ICICI Bank

Analyst Day Update | BFSI

Bank to Bank-tech; Process, people & platform

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

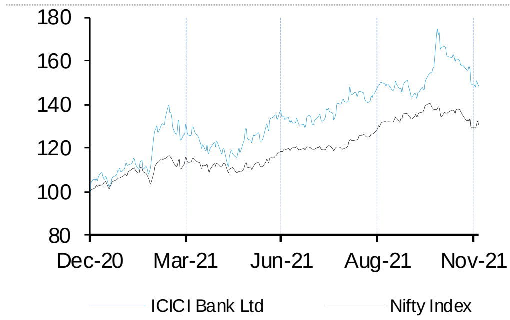
December 06, 2021

Rating	TP (Rs)	Up/Dn (%)
BUY	925	29

Market data		
Current price	Rs	717
Market Cap (Rs.Bn)	(Rs Bn)	4,973
Market Cap (US$ Mn)	(US$ Mn)	66,320
Face Value	Rs	2
52 Weeks High/Low	Rs	867 / 467.5
Average Daily Volume	('000)	22,491
BSE Code		532174
Bloomberg		ICICIBC.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-21	Jun-21
FIIs	47.3	48.0
DIIs	42.7	42.0
Othres	10.0	10.0
Total	**100**	**100**

Source: BSE

We attended ICICI Bank (ICICIBC)'s Analyst Day, wherein the bank demonstrated its efforts to rebuild its business model around end-to-end digital journey and scale up the franchise through innovative platforms and solutions. The core theme that we picked up was strengthening digital capabilities for cost efficiency, process efficiency and enhancing customer experience. Bank has also re-emphasized its focus on risk-calibrated growth in the core operating profit. Going forward, we believe the bank will continue to invest in technology to build a strong architecture for tomorrow.

Strategy & Approach

- Early adoption of emerging technologies to drive innovation
- Augmenting existing digital products to maximize opportunity
- Entering into mutually beneficial partnerships
- Decongesting processes and improving customer experience

Other Major Highlights

- ICICI bank's digital initiatives have played an important role in driving growth & efficiency in its retail business. The bank's focus was on 3R strategy, which is 1) right customers through 2) right channels at 3) right time. Bank's pre-approved loans is a dominant part of sourcing, which not only accelerates customer acquisition, but also enhances customer experience. Bank has increased preapproved base using artificial intelligence (AI) and machine learning (ML).
- Bank's digital strategy focuses on the corporate ecosystem, which will help its customers to manage their businesses efficiently, and also created new opportunities for the bank in both retail and wholesale businesses. Bank offers banking solutions to corporates with backward and forward integration for their entire network of employees, dealers, vendors and all other stakeholders.
- Bank has also created an enabling environment for small businesses through digital initiatives and improving access to finance. Bank's InstaBIZ, a universal app for small businesses, allows businesses to use most of their banking services - from opening a current account to availing an OD facility - on a single mobile application. There are 1mn+ active customers on this app and witnessed 1.6x growth in financial transactions in YTD Oct-21. There have more than 0.2mn products sold on this platform over the 12 months ending Oct-21

Financial Summary

Y/E Mar (Rs Bn)	FY20	FY21E	FY22E	FY23E
NII	333	390	458	545
Adjusted net profit	79	162	220	278
Networth	1165	1475	1651	1871
EPS (Rs)	12	23	32	40
Adj BVPS (Rs)	164	200	224	254
P/E (x)	58	31	23	18
P/Adj BV (x)	4.4	3.6	3.2	2.8
RoA (%)	0.8	1.4	1.7	1.9
RoE (%)	7	12	14	16

Source: Dalal & Broacha Research, Company

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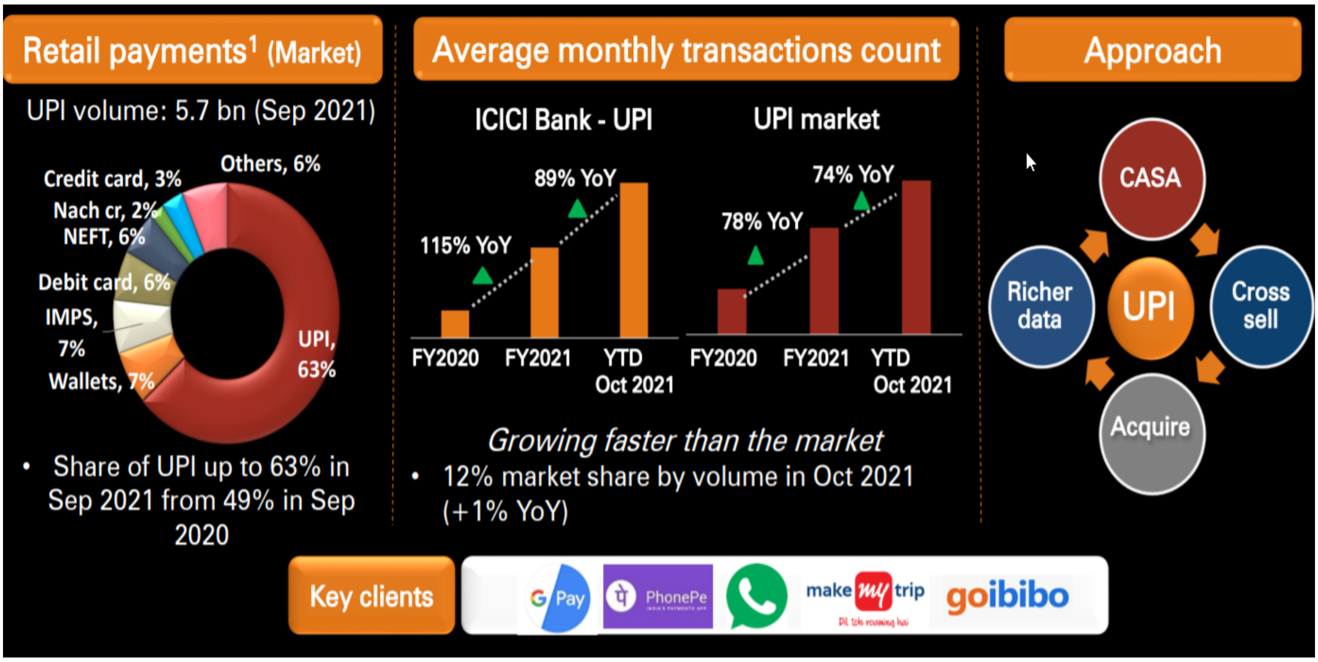
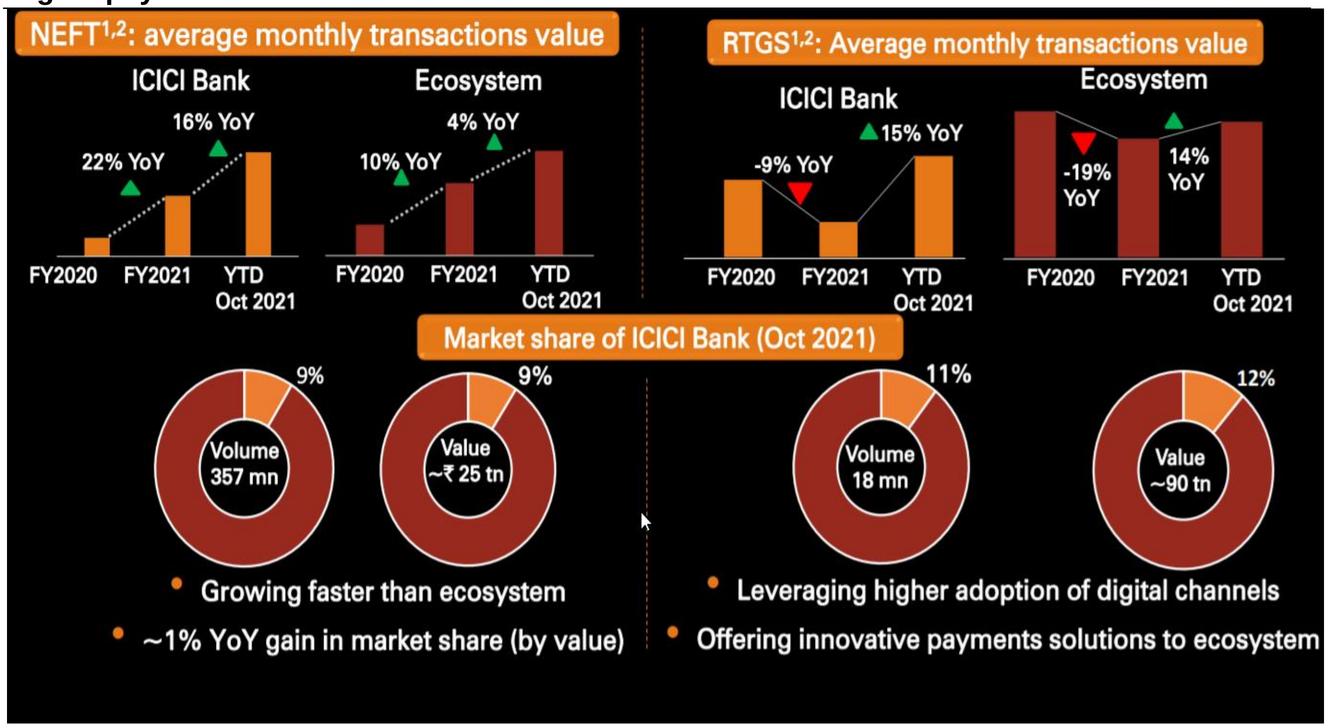
Leading the digital payments wave

- Bank has reported a 2x growth in value of UPI transactions in Oct 2021 over Mar 2021.
- Bank has also witnessed Rs 250+ bn value of throughput in Oct 2021.



Source: Dalal & Broacha Research, Company

Digital payments - NEFT & RTGS

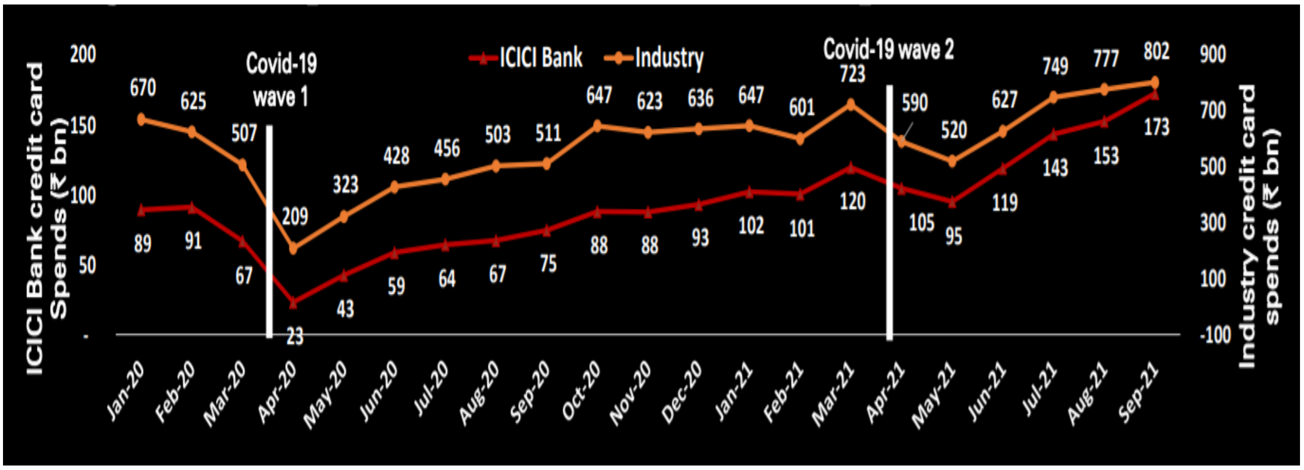


Source: Dalal & Broacha Research, Company

Credit cards

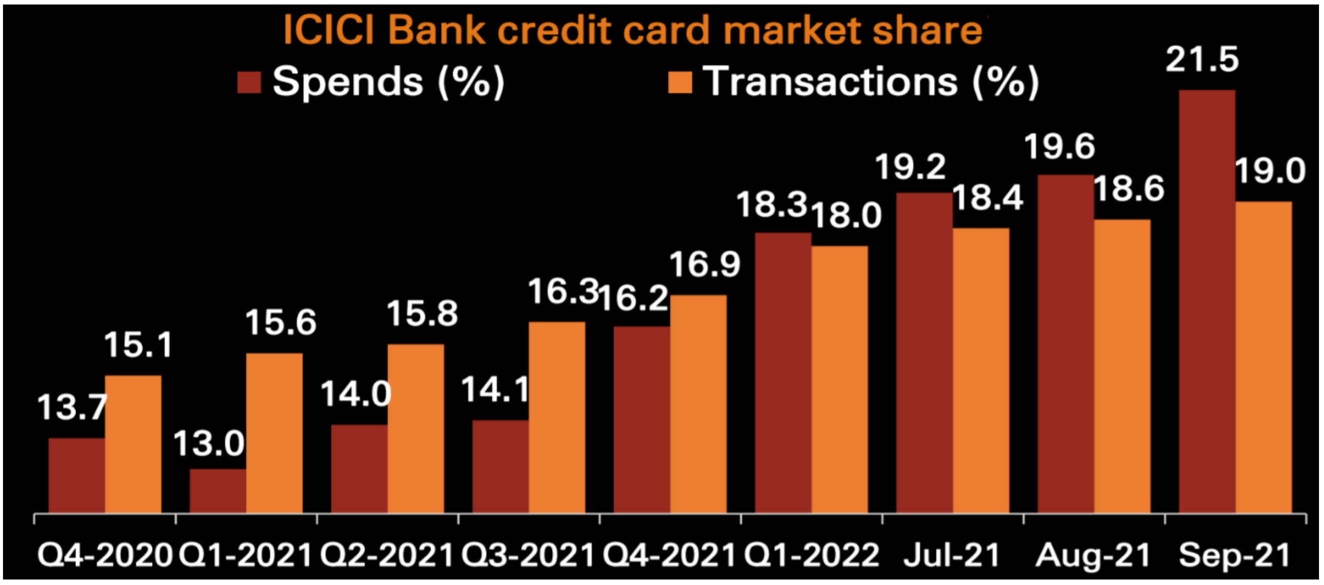
- Taking Jan 2020 as the pre-Covid-19 base, ICICI Bank's credit card recovery was faster than the industry (Dec 2020 compared to Mar 2021). While Sep 2021 industry spends are 20% higher compared than pre Covid-19 levels; growth in spends for ICICI Bank credit card during the same period was 93%.
- Technology plays an important role in credit card acquisition, with digital sourcing stood at 92% in Q2FY21, 96% in Oct-21 and 100% from 1st Nov-21. ~28% NTB (New to Bank) customers given cards within 30 mins. Besides, bank saw a consistent scale-up in acquisition via Video-KYC, which widen location coverage for sourcing. ~ 55%+ NTB customers sourced through V-KYC
- ICICI bank's tie up with Amazon has really worked well for the bank. Under Amazon Pay ICICI Bank credit card, Bank has onboarded 2mn customers as of June 2021 vs 1mn as of June 2020. Of the total new cards booked, more than 60%+ are NTB customers. Monthly activation is 1.3x the industry level.
- The profitability of the Amazon card is attractive, given low cost of acquisition and lower delinquency than other cards. However, the revolve rate for the said card is lower than other cards. Healthy cross sell (such as Home, auto and personal loan) to Amazon card customers further adds value

Trajectory of credit card spends



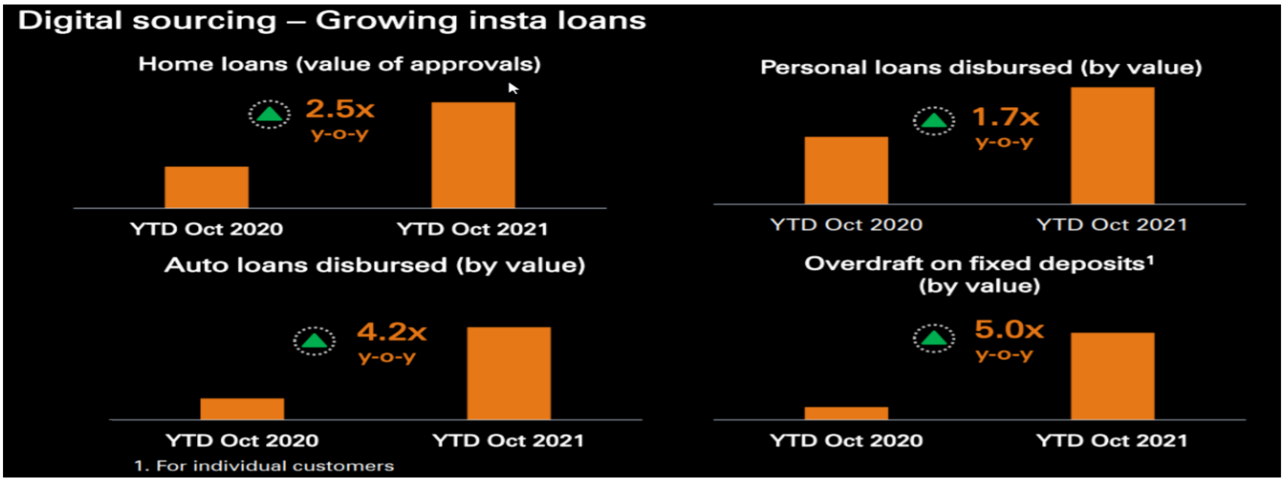
Source: Dalal & Broacha Research, Company

ICICI Bank credit card market share

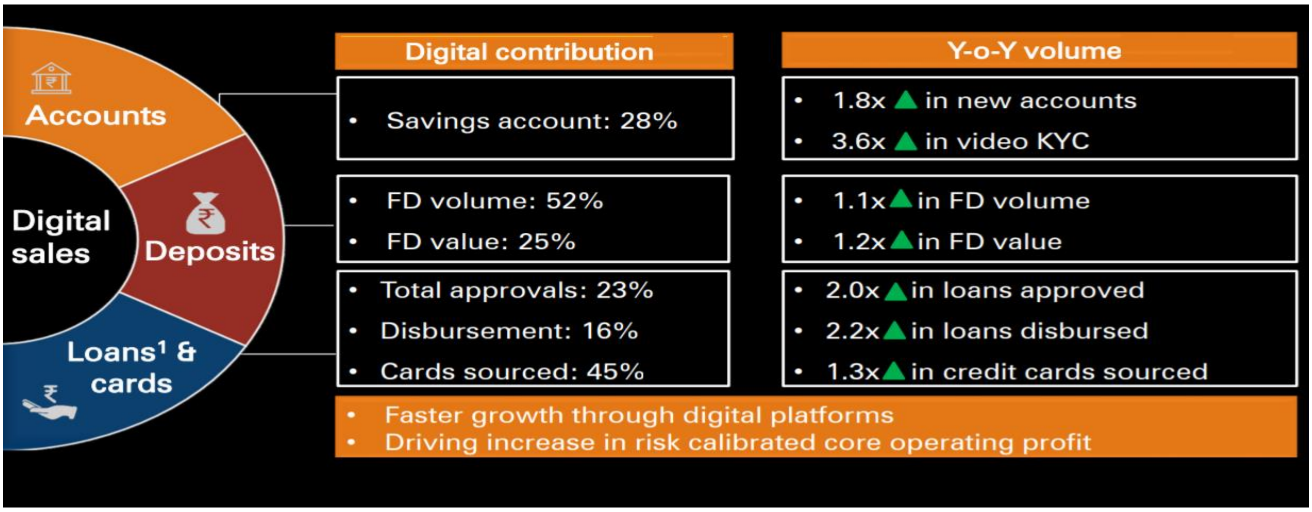


Source: Dalal & Broacha Research, Company

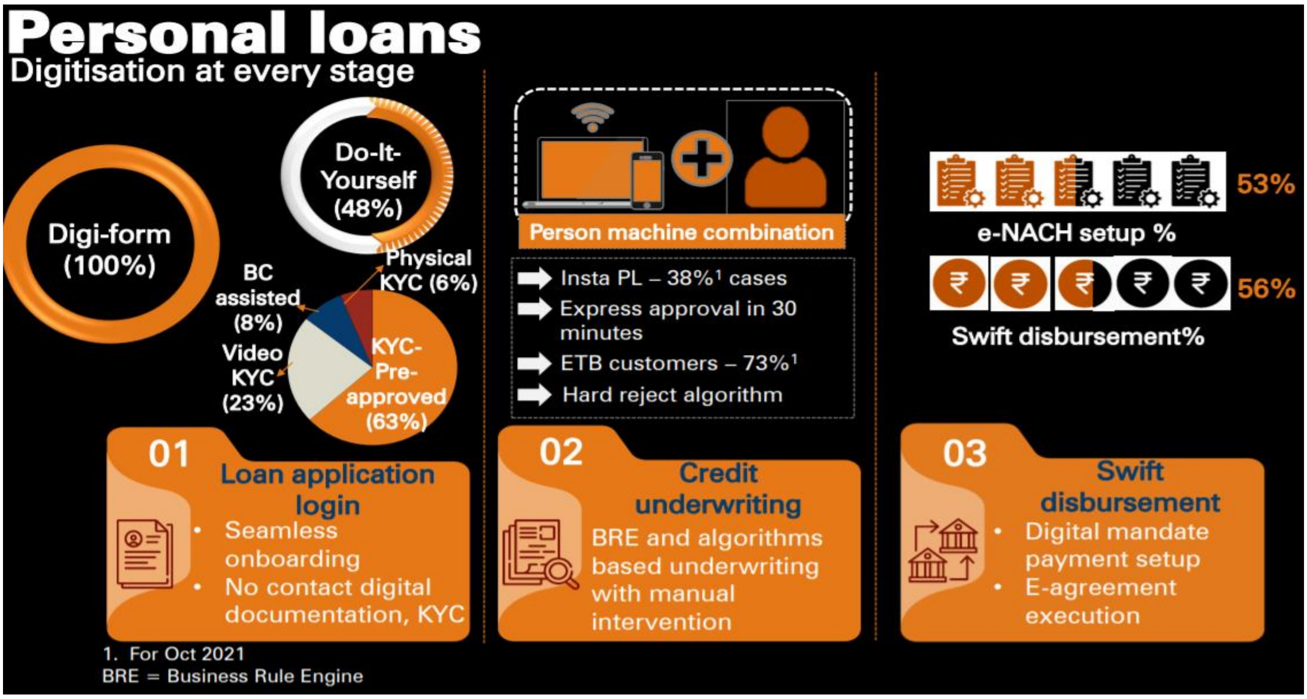
Strong digital journey in retail banking



Delivered by INSTA products



Technology plays important role in Personal loans segment



Source: Dalal & Broacha Research, Company

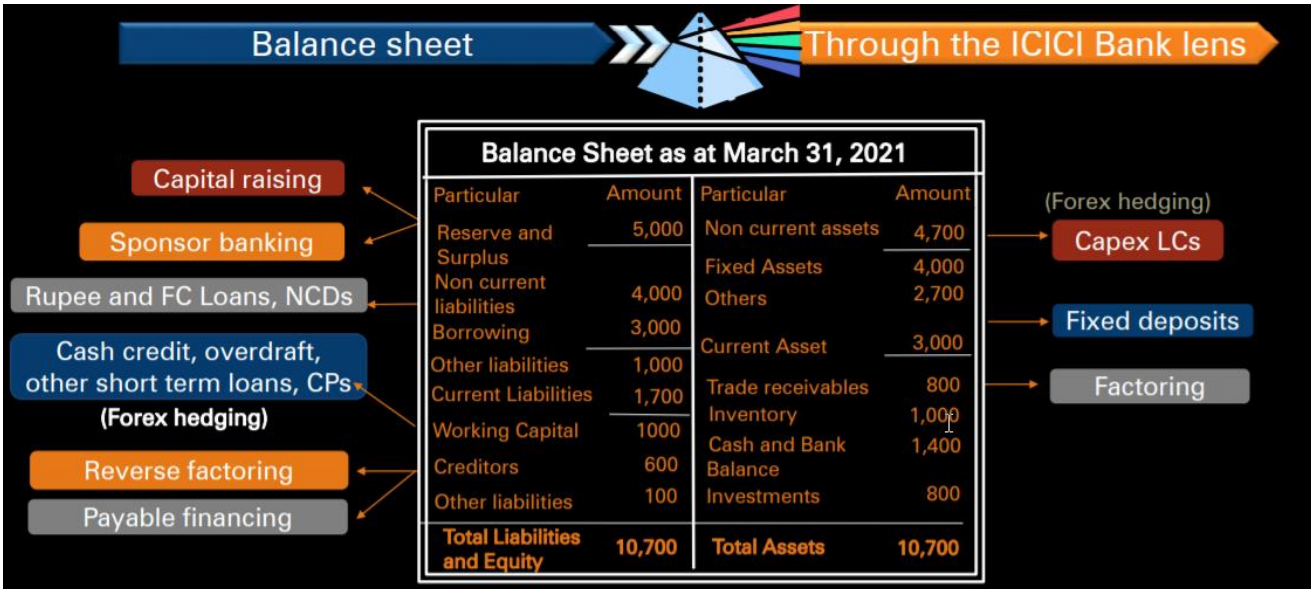
Wholesale banking

- ICICI bank offers banking solutions to corporates with backward and forward integration for their entire network of employees, dealers, vendors and all other stakeholders.
- The bank provided several digital products and services for smooth on-boarding, seamless access to products and services and simpler transaction experience.

Bank's continuous endeavour is to capture end to end flows and opportunities

Source: Dalal & Broacha Research, Company

Continuous endeavour to capture the entire ecosystem



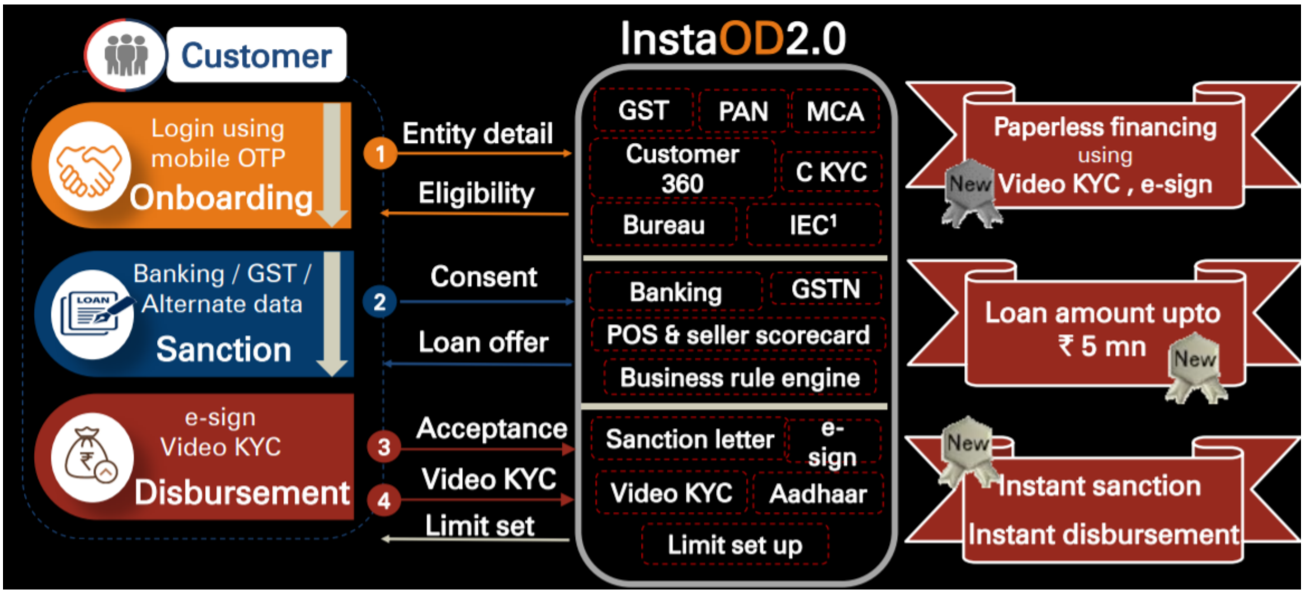
Source: Dalal & Broacha Research, Company

Comprehensive platforms for small business

Bank's InstaBIZ, a universal app for small business, allows businesses to use most of its banking services — from opening a current account to availing an OD facility — on a single mobile application.

Source: Dalal & Broacha Research, Company

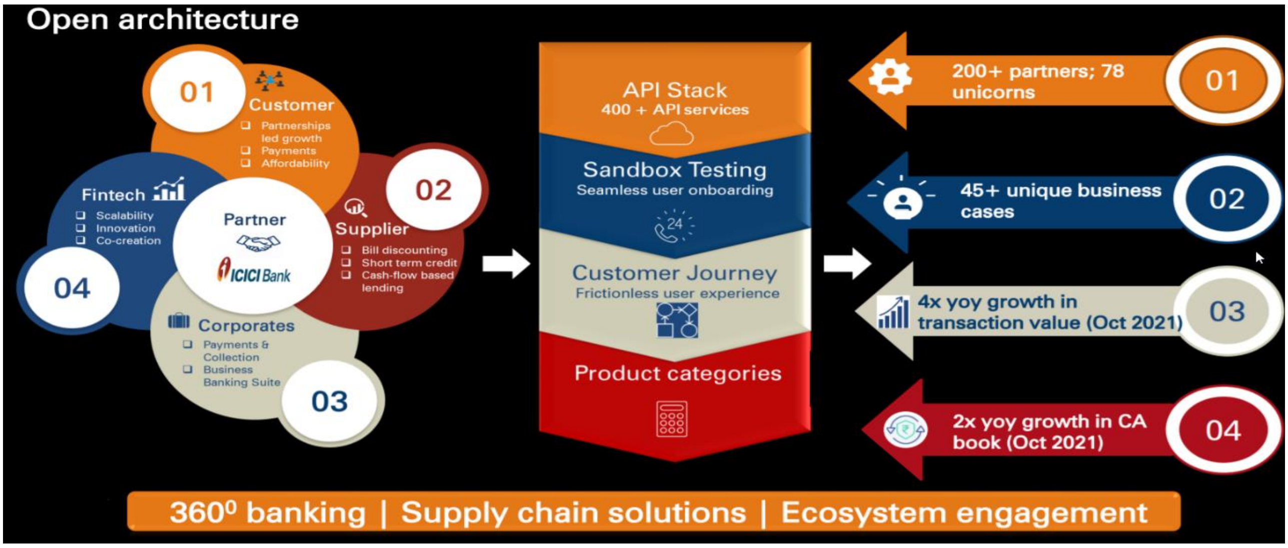
InstaOD 2.0: DIY NTB customer journey



Source: Dalal & Broacha Research, Company

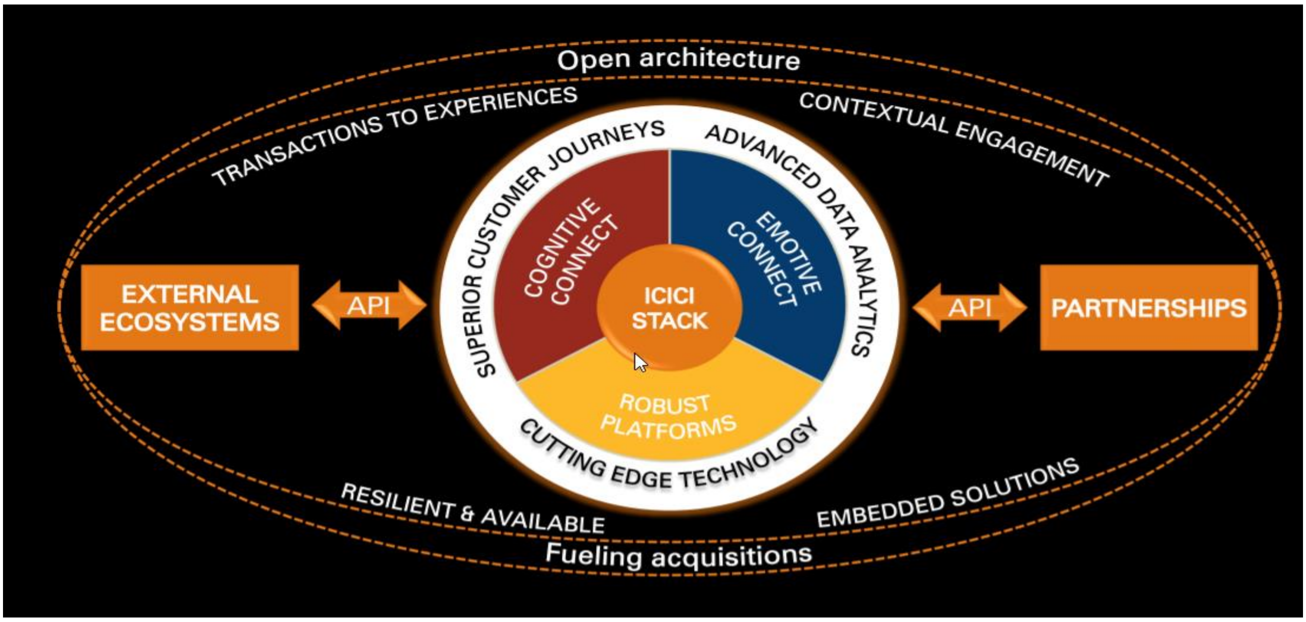
Digital partnerships & co-creation

- ICICI Bank has collaborated and co-created innovative products with startups to drive transformation aligned with ICICI Bank's digital roadmap.
- With these partnerships, the bank encourages employee innovation at edges, enhance risk taking ability & experimentation, and build a culture of innovation.



Source: Dalal & Broacha Research, Company

Digital strategy; Built for All /Built for Scale



Source: Dalal & Broacha Research, Company

Valuation and outlook

We believe that the bank's extensive use of technology will help its loan growth to outpace opex and credit costs, driving expansion in Profitability. Besides, continues investments in digital banking, adopting a cloud-technology and analytics-driven decision-making will help the company to deliver strong operational performance. ICICI Bank is navigating well through a challenging macro environment. We believe that Bank will remain a long-term beneficiary of the consolidation theme playing out in the domestic financial market thanks to its superior liability franchise. We take comfort from its tier-1 capital (17.1%) and Covid-19 related provisions (Rs 64.25 Bn), which provide an additional buffer to cushion any adverse effect of sudden spikes in slippages. At CMP, stock trades at 3.2x its FY22E ABV and 2.8x its FY23E ABV. We assign a 'BUY' rating on ICICI with a price target of Rs 925, valuing the stock at 3.1x FY23E standalone P/ABV and ascribing a value of Rs 136 for subsidiaries.

Financial

P&L (Rs Bn)	FY20	FY21	FY22	FY23
Interest income	748	791	881	1052
Interest expense	415	401	422	507
NII	**333**	**390**	**458**	**545**
Non-interest income	164	190	208	240
Net revenues	**497**	**580**	**666**	**785**
Operating expenses	216	216	243	277
PPOP	**281**	**364**	**424**	**508**
Provisions	141	162	130	136
PBT	**140**	**202**	**294**	**372**
Tax	61	40	74	94
PAT	**79**	**162**	**220**	**278**

Balance sheet	FY20	FY21	FY22	FY23
Share capital	13	14	14	14
Reserves & surplus	1152	1461	1637	1857
Net worth	**1165**	**1475**	**1651**	**1871**
Deposits	7710	9325	10744	12526
Borrowings	1629	916	960	1020
Other liability	480	588	562	573
Total liabilities	**10984**	**12304**	**13917**	**15990**
Fixed assets	84	89	90	94
Investments	2495	2813	3267	3793
Loans	6453	7337	8566	10093
Cash	1192	1331	1179	1178
Other assets	760	734	815	831
Total assets	**10984**	**12304**	**13917**	**15990**

Ratios	FY20	FY21	FY22	FY23
Growth (%)				
NII	23.1	17.2	17.6	18.9
PPOP	19.9	29.5	16.5	19.9
PAT	136	104	36	26
Advances	10.0	13.7	16.7	17.8
Deposits	18.1	21.0	15.2	16.6
Spread (%)				
Yield on Funds	7.9	7.3	7.2	7.5
Cost of Funds	4.7	4.1	3.8	4.0
Spread	3.2	3.2	3.3	3.5
NIM	3.5	3.6	3.7	3.9
Asset quality (%)				
Gross NPAs	6.1	5.4	4.6	3.8
Net NPAs	1.6	1.3	1.2	1.1
Provisions	76	78	74	72
Return ratios (%)				
RoE	7.1	12.3	14.1	15.8
RoA	0.8	1.4	1.7	1.9
Per share (Rs)				
EPS	12	23	32	40
BV	180	213	239	271
ABV	164	200	224	254
Valuation (x)				
P/E	58.5	30.6	22.5	17.8
P/BV	4.0	3.4	3.0	2.6
P/ABV	4.4	3.6	3.2	2.8

Source: Dalal & Broacha Research, Company

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